

Navigating the volatile markets

Over the past month, stock markets in India and around the world have seen a high degree of **volatility**. On April 2, when US President Donald Trump announced his policy of **reciprocal tariffs**, the **Dow plunged** 1,450 points or 3.4 per cent. Markets around the world **tanked**. By April 7, the BSE Sensex had fallen to 73,137, down from 76,617 on April 2. Over the same period, **Brent crude oil** fell from \$74.95 per barrel to \$64.4. But, in the days and weeks after, global markets recovered, although partially, and the Sensex **reclaimed** the 80,000 level. On Monday, it ended the day at 80,218, up 2.2 per cent year-to-date.

The sharp **upturn** in global markets **has** been **attributed to** Trump pausing the **imposition** of higher tariffs, allowing countries to negotiate deals with the US. The **possibility** of early **conclusion** of an India-US trade deal — US Treasury Secretary Scott Bessent is reported to have said that India could well be the first country to sign one — **has buoyed sentiment** in India. The dollar is also weakening. **The dollar index** — which measures the strength of the **greenback** against a **basket** of currencies — **has** fallen from around 111 in January to roughly 99 now. In April, the RBI's **monetary policy committee** cut the **benchmark repo rate** by 25 **basis points** to 6 per cent, and signalled the possibility of further **easing in order to** support the economy. Foreign investors have turned **optimistic** over the past few days, **pouring** money into the markets.

The global economy is, however, expected to slow down this year. The IMF has **pegged** growth at 2.8 per cent, down 50 basis points from its earlier estimate. The Fund has also **scaled down** India's growth estimate. Some analysts are, however, more **pessimistic**, expecting growth to slow down even more sharply. The fourth quarter **results** of India Inc already **point towards** **subdued** revenue and profit growth, with weakness being observed across a range of sectors, spanning consumption, investments and exports. **For instance**, HUL saw volume and sales growth at 2 per cent and 3 per cent, respectively. Dalmia Bharat saw volumes decline by 3 per cent, and **Infosys**, which saw a **sequential** decline in revenues, **has** pegged revenue growth at 0-3 per cent in 2025-26. The **impact** of Trump's tariffs, and the uncertainty they have **unleashed**, **will** only be visible in the weeks and months ahead. This will **have a bearing on** the markets.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

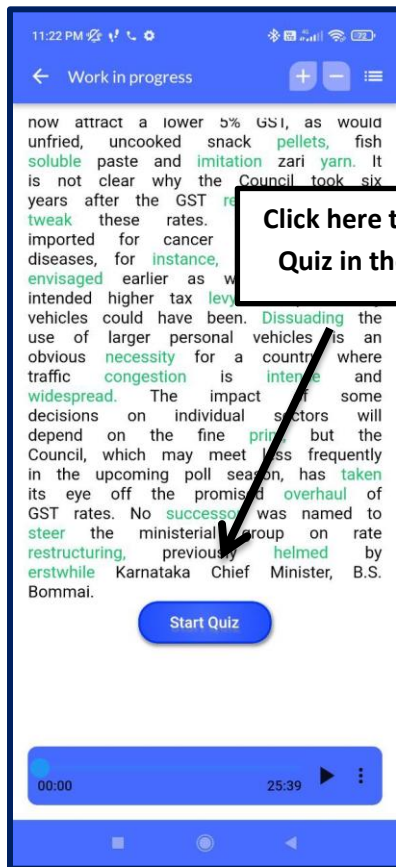
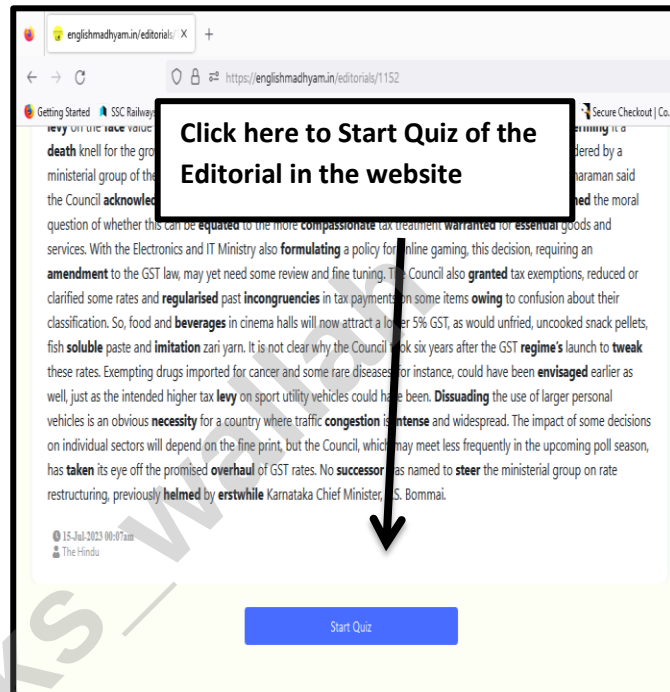
1. **Navigate** (verb) – steer, manage, handle, guide, pilot दिशा देना
2. **Volatile** (adjective) – unstable, unpredictable, erratic, turbulent, fluctuating अस्थिर
3. **Volatility** (noun) – instability, unpredictability, fluctuation, inconsistency, turbulence अस्थिरता
4. **Reciprocal tariff** (noun) – a tax or trade restriction that one country places on another in response to similar actions taken by that country. पारस्परिक शुल्क
5. **The Dow** (noun) – a stock market index that tracks the performance of 30 large, publicly traded companies in the United States अमेरिकी स्टॉक इंडेक्स
6. **Plunge** (verb) – fall, drop, tumble, crash, nosedive तेजी से गिरावट होना
7. **Tank** (verb) – collapse, plummet, fall sharply, crash, sink बुरी तरह गिरना
8. **Brent crude oil** (noun) – a global benchmark crude oil price used to price around two-thirds of the world's oil contracts. ब्रेंट क्रूड ऑयल (तेल का वैश्विक मानक)
9. **Reclaim** (verb) – recover, regain, retrieve, restore, retake फिर से प्राप्त करना
10. **Upturn** (noun) – improvement, recovery, rise, surge, boost सुधार
11. **Attribute** (to) (verb) – ascribe, credit, assign, link, connect कारण मानना
12. **Imposition** (noun) – enforcement, application, levy, burden, implementation थोपना
13. **Conclusion** (noun) – end, finalization, closure, settlement, completion निष्कर्ष
14. **Buoy** (verb) – uplift, boost, encourage, support, stimulate प्रोत्साहित करना
15. **Sentiment** (noun) – mood, feeling, attitude, emotion, perception भावना / प्रवृत्ति
16. **Greenback** (noun) – US dollar, American currency, buck, USD, dollar bill अमेरिकी डॉलर
17. **Basket** (noun) – collection, group, assortment, bundle, set समूह (मुद्राओं का समूह)
18. **Monetary policy committee** (noun) – It is responsible for fixing the benchmark interest rate in India. मौद्रिक नीति समिति
19. **Benchmark repo rate** (noun) – the rate at which the central bank of a country (RBI in case of India) lends money to commercial banks in the event of any shortfall of funds.

20. **Basis point** (noun) – 100 basis point = 1%
21. **Easing** (noun) – loosening, relaxation, lowering, softening, moderation, reduction कटौती
22. **In order to** (phrase) – so as to, with the aim of, for the purpose of, to, intending to ताकि / के लिए
23. **Optimistic** (adjective) – hopeful, positive, upbeat, confident, sanguine आशावादी
24. **Pour** (verb) – invest, inject, funnel, channel, infuse डालना / निवेश करना
25. **Peg** (verb) – fix, set, estimate, attach, assign निर्धारित करना
26. **Scale down** (phrasal verb) – reduce, decrease, lower, trim, cut back घटाना / कम करना
27. **Pessimistic** (adjective) – gloomy, negative, hopeless, despairing, doubtful निराशावादी
28. **Point towards** (phrase) – indicate, suggest, imply, hint at, reflect संकेत देना / दर्शाना
29. **Subdued** (adjective) – weak, low, muted, restrained, soft मंद
30. **For instance** (phrase) – for example, such as, to illustrate, like, namely उदाहरण के लिए
31. **Sequential** (adjective) – consecutive, successive, in order, step-by-step, chronological क्रमिक
32. **Unleash** (verb) – release, trigger, initiate, let loose, cause शुरू करना
33. **Have a bearing on** (phrase) – affect, influence, impact, relate to, be connected to प्रभाव डालना

Summary of the Editorial

1. Global and Indian stock markets have experienced significant volatility over the past month.
2. On April 2, the Dow Jones dropped 1,450 points (3.4%) after President Trump announced reciprocal tariffs.
3. The BSE Sensex fell from 76,617 (April 2) to 73,137 (April 7), indicating market stress.
4. Brent crude oil prices dropped from \$74.95 to \$64.4 per barrel during the same period.
5. Global markets showed partial recovery afterwards, with the Sensex rising above 80,000.
6. On the latest trading day, Sensex closed at 80,218, reflecting a 2.2% increase year-to-date.
7. The rebound in markets is attributed to Trump pausing tariff hikes, opening room for trade negotiations.
8. Hopes for an early India-US trade deal have further boosted Indian market sentiment.
9. The US dollar has weakened, with the dollar index dropping from 111 in January to 99 in April.
10. The RBI cut the repo rate by 25 basis points to 6% and hinted at further easing to support growth.
11. Foreign investors have shown renewed interest, investing actively in Indian markets.
12. The IMF has lowered its global growth forecast for 2025 to 2.8%, down by 50 basis points.
13. India's growth forecast has also been downgraded by the IMF, with some analysts predicting steeper declines.
14. Q4 results from Indian companies show weak revenue and profit growth across sectors.
15. The long-term effects of Trump's tariffs and ongoing trade uncertainty could impact markets further in coming months.

Practice Exercise: Banking Pattern Based

[Click here to download App](#)[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam